

LBOMODEL2 — Sources only when their numbers are IN the equation

AI \$34m: \$5–10k/mo AI SDR + ZI 1,513 S&M; . 11x official floor \$3,750/mo. Excel

Driver	Val	Source (EQ only)	EQUATION
Revenue growth	0.1	IN EQ: FY24 Rev=\$1,214.3m (ZI). NOT in EQ: –2% growth (filing). C5=10% = MODEL CONST.	EQ: $Y1_Rev = 1214.3 \times (1+0.10) = \$1,335.73m$. SOURCED in EQ: 1214.3 from ZI FY24 results. MODEL CONST in EQ: 0.10 (filing growth –2.03% is NOT an input). Removed as if it drove 10%: nothing — we do not cite a growth source for 10% because we do not have one.
Gross margin	0.8	IN EQ: software median GM=80% → C6=0.80 (Aleph/Benchmarkit)	EQ: $COGS = Rev \times (1-0.80)$. Y1: $1335.73 \times 0.20 = \$267.15m$. SOURCED in EQ: 0.80 = published software median GM. Source number = driver.
Sales payroll cut (Y1)	0.15	IN EQ: ~18% SDR HC decline (set C7=15%≈18%); payroll pool \$318.8m	EQ: $Payroll_Y1 = 318.8 \times (1-0.15) = \$270.98m$. SOURCED rate evidence: ~18% YoY US B2B SaaS SDR headcount decline → model switch 15%≈18%. SOURCED \$: 318.8 from row22 equation. If exact 18%: $318.8 \times 0.82 = \$261.4m$ (we use 15%).
Variable commission cut	0.2	IN EQ: ~30% variable OTE (explains commission pool); pool \$106.2m; C8=20% MODEL CONST	EQ: $Commission_AI = 106.2 \times (1-0.20) = \$84.96m$. SOURCED: ~30% variable share (why a commission pool exists). SOURCED \$: $106.2 = 0.25 \times 425$. MODEL CONST: 0.20 cut (partial take of ~30% variable layer).
AI infrastructure (\$m)	34	IN EQ: AI SDR \$5k–\$10k/mo (White Space / 11x enterprise band) — click	EQ: $Roles = 0.25 \times 1,513 = 378$; $Low = 378 \times \$5,000 \times 12 = \$22.7m$; $High = 378 \times \$10,000 \times 12 = \$45.4m$; $C9 = avg = \$34.0m$. SOURCED \$/mo: White Space AI SDR guide lists 11x.ai (Alice) at \$5,000–10,000+/mo (enterprise). SOURCED HC: 1,513 S&M; employees from ZI 10-K (secondary link). MODEL CONST: 0.25 outbound share of S&M; . Cross-check: 11x official Growth starts \$3,750/mo (11x.ai Alice pricing) — below our \$5k low; we use the published \$5–10k enterprise band that feeds this EQ. NOT in EQ / removed: Salesforce \$/conversation pricing.
S&M; expense growth Y2+	0.02	IN EQ: C10=2% = Fed longer-run inflation target 2% (FOMC)	EQ: $Payroll_t = Payroll_t-1 \times (1.02)$. Y2=270.98×1.02=\$276.40m. SOURCED in EQ: 0.02 from Fed 2% longer-run inflation goal. SOURCED \$ start: 270.98 from row7. Removed: Gartner qualitative agent note (supplied no numeric 2%).
G&A; % of revenue	0.18	Filing G&A; rate=295.3/1214.3=24.3% NOT used. C11=18% = MODEL CONST (no source equals 18%).	EQ USED: $G\&A; = Rev \times 0.18 \rightarrow Y1\ 1335.73 \times 0.18 = \$240.43m$. MODEL CONST: 0.18 (no publication in our pack prints 18% G&A; for ZI). SOURCED BUT NOT IN EQ: filing 24.3% (would be Y1 \$324.9m). Honesty: do not treat the filing as the source of 18%.
CapEx reduction vs base	0.05	C12=5% CapEx cut = MODEL CONST (no sourced 5%). Device \$ in SDR stacks is qualitative only — removed as EQ source.	EQ: $CapEx_AI = Rev \times 0.02 \times (1-0.05) = Rev \times 0.019 \rightarrow Y1 = \$25.38m$. MODEL CONSTS: 0.05 and (with row24) 0.02. No source listed: prior laptop-stack articles do not print 5%, so they do not drive C12.
WC / receivables improvement	0.1	Source ~80 DSO motivates WC but is NOT equal to C13=10%. 10% = MODEL CONST.	EQ: $\Delta NWC_AI = \Delta Rev \times 0.02 \times 0.90 \rightarrow Y1\ 121.43 \times 0.018 = \$2.19m$. MODEL CONST: 0.10 improvement. SOURCED but not algebraic in 10%: ~80 DSO (shows WC exists). $80/365 = 21.9\%$ AR/sales stock ≠ 10% improvement rate.
SOFR	0.043	FRED/NY Fed define SOFR series. C14=4.30% = MODEL PLANNING (≠ latest ~3.62% print).	EQ: rates use C14 directly (TLA=C14+C15). SOURCED: SOFR is the official series (FRED). MODEL CONST value: 4.30% planning cushion above recent ~3.62%. To match source exactly, set C14 to the FRED print; currently not equal.
Term Loan A spread	0.04	Source TLA band ~SOFR+275–375bps. C15=+400bps is ABOVE band → MODEL CONST (25bps over).	EQ: $TLA_rate = 4.30\% + 4.00\% = 8.30\%$. SOURCED band: 275–375bps (not 400). MODEL CONST: 400bps. Honesty: source does not equal 400.
Term Loan B spread	0.05	IN EQ: TLB SOFR+300–500bps → C16=+500bps = upper bound of source	EQ: $TLB_rate = 4.30\% + 5.00\% = 9.30\%$. SOURCED in EQ: 500bps = top of published SOFR+300–500 band. Source upper bound = driver.
Mandatory amortization	0.01	IN EQ: ~1%/yr TLB amort → C17=1%; principal=\$915.5m	EQ: $Mandatory = 915.5 \times 0.01 = \$9.155m/yr$. SOURCED: 1% amort standard. Source number = driver.
Cash sweep %	1	C18=100% sweep = MODEL CONST. LBO guides describe optional prepay mechanism but do not print 100%.	EQ: $Sweep = 1.00 \times \max(0, FCF - Mandatory)$. MODEL CONST: 1.00. Removed as EQ source: qualitative LBO delever articles (no 100% figure).
Tax rate	0.21	IN EQ: US federal CIT=21% → C19=0.21 (PwC)	EQ: $Tax = EBT \times 0.21$. SOURCED: 21% statutory. Source number = driver.
Exit EV/EBITDA multiple	13	Source PE SaaS ~15–22x. C20=13x is BELOW band → MODEL CONST (not equal to source).	EQ: $Exit_EV = Y5_EBITDA \times 13$. MODEL CONST: 13.0x. SOURCED band 15–22x is NOT used as 13. Honesty: source does not equal driver.
S&M; baseline (\$m)	425	IN EQ: Rev \$1,214.3m; choose 35%=filing S&M; 34.1% (\$414.1m) → C21=\$425m	EQ: $0.35 \times 1214.3 = \$425.0m = C21$. SOURCED: 1214.3 rev and 414.1 S&M; (34.1%) from ZI FY24. MODEL ROUND: 35% near 34.1%.
Payroll baseline (\$m)	318.8	IN EQ: ~70% base OTE → set 75%×\$425m=\$318.8m	EQ: $C22 = 0.75 \times 425 = \$318.8m$. SOURCED: ~70% base (SyncGTM). MODEL: 75% of S&M; pool near that mix. SOURCED \$: 425 from row21.
Commission baseline (\$m)	106.2	IN EQ: residual 25%×\$425m=\$106.2m (near sourced ~30–35% variable)	EQ: $C23 = 0.25 \times 425 = \$106.2m$; $318.8 + 106.2 = 425$. SOURCED: variable ~30–35% OTE. MODEL: 25% of S&M; as commission carve.
CapEx base % of rev	0.02	IN EQ: SaaS CapEx typically 1–3% of rev → C24=2% = midpoint of sourced band	EQ: $CapEx = Rev \times 0.02 \rightarrow Y1 = \$26.71m$. SOURCED: pure-play SaaS CapEx 1–3% of revenue (SaaSDB). 2% = midpoint of 1–3%. Source band drives driver.
WC base % of Δrev	0.02	C25=2% ΔNWC/ΔRev = MODEL CONST. ~80 DSO is not equal to 2% — removed as if it produced 2%.	EQ: $\Delta NWC = \Delta Rev \times 0.02 \rightarrow Y1 = \$2.43m$. MODEL CONST: 0.02. No source equals 2% WC plug (80 DSO would imply ~22% AR/sales stock, a different metric).
TLA rate (SOFR+4)	=C14+C15	EQ: C27=C14+C15 only (inputs from rows 14–15)	EQ: $4.30\% + 4.00\% = 8.30\%$. Interest_TLA=TLA_beg×0.083. No third-party source beyond C14/C15 component rows.
TLB rate (SOFR+5)	=C14+C16	EQ: C28=C14+C16 only; C16=+500bps sourced as TLB upper bound on row16	EQ: $4.30\% + 5.00\% = 9.30\%$. Interest_TLB=TLB_beg×0.093. Component sources on rows 14 & 16.